

Madison Realty's \$61M Bridge Loan Shows Private Credit Is Still the Only Game for New Construction

A floating-rate bridge loan on a just-completed apartment building reveals where construction debt ends and permanent capital begins.

The most important detail in Madison Realty Capital's \$61 million bridge loan for Braddock Park West is not the loan amount. It is the building's completion date. Braddock Park West was finished earlier this year. That means the developer, Sanz Property Management, built this 135-unit apartment tower in North Bergen through a construction cycle that saw rates rise, construction costs surge, and bank construction lending contract.

Now the building is standing, and the capital stack needs to be restructured for the next phase. This is not a refinancing of a stabilized asset. It is a bridge from construction to permanent capital. And the lender is not a bank. It is Madison Realty Capital, one of the most active private credit platforms in the multifamily space. The loan is floating-rate, arranged by Walker & Dunlop.

That tells you the borrower is betting rates will decline or that the asset will generate enough cash flow to service the debt at current levels. It also tells you that fixed-rate agency or life company debt was not available or not attractive enough at this stage of the asset's life. Braddock Park West is a 10-story building with 135 units averaging 801 square feet.

The unit mix is studio, one-bedroom, and two-bedroom. Amenities include a fitness center, coworking lounge, and rooftop terrace. This is a classic transit-oriented suburban multifamily product aimed at renters priced out of Manhattan but still commuting to it. The location matters. North Bergen sits just across the Hudson River from Midtown Manhattan. It is not a tertiary market. It is a bedroom community for New York City's workforce.

That gives the asset a demand floor that a suburban office tower or a rural multifamily complex does not have. But the capital story is the real signal. Private credit is not just filling a gap left by regional banks. It is becoming the default construction-to-permanent capital bridge for new multifamily supply. Banks are still lending, but selectively and at lower leverage. Agency debt is available only after stabilization.

That leaves a window between completion and stabilization that private lenders like Madison Realty Capital are pricing aggressively. The borrower benefits because it gets liquidity to pay off construction debt, lease up the building, and buy time before locking in permanent financing. The lender benefits because it gets a floating-rate coupon on a newly built asset in a supply-constrained market with a credible sponsor.

The risk is that lease-up takes longer than expected or that rates stay high, compressing the borrower's margin. Who is exposed? The borrower, Sanz Property Management, is carrying floating-rate debt on a building that has not yet reached stabilized occupancy. If the lease-up slows or rents soften, the debt service burden becomes heavier. The lender has first-loss exposure but also has the ability to extend or restructure if needed.

The real exposure is to the equity holder, who is betting that the building's cash flow will cover the floating-rate coupon before the loan matures. What should the market watch next? The lease-up velocity at Braddock Park West. If this building leases quickly at rents that support the debt service, it will validate the private credit bridge model for new construction.

If it struggles, it will show that even well-located new supply is not immune to the affordability ceiling that renters face across the region. Private credit is not solving the multifamily construction financing gap. It is deciding who gets enough time to fill it.

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We work across acquisitions, refinancings, recapitalizations, and development projects, with a focus on clear strategy, credible execution, and capital that fits the deal.

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